Chief Minister's Entrepreneur Programme (CMEP) Scheme

The **Chief Minister's Entrepreneur Programme (CMEP)** is a big government scheme launched by the Andhra Pradesh government to help ordinary people start their own businesses. The goal is to create jobs, help local economies grow, and encourage more people (especially first-time business starters) to become entrepreneurs.

Think of it like this: The government is saying, "If you want to start a small factory or a modern business, we will help you with some money so that taking a bank loan becomes easier and less risky."

1. What is the CMEP Scheme?

- **Main Purpose**: To help people set up **new businesses** in manufacturing (making things) and knowledge economy (IT, software, digital services, etc.). These businesses should create real, long-term jobs.

- **How does it help?** It is a **credit-linked, back-ended margin money subsidy** scheme. → You take a loan from a bank. → The government gives you a **subsidy** (free money) after you successfully start and run the business. → This subsidy reduces the actual burden of the loan.

- **Who is it for?** Special focus on:
    - First-generation entrepreneurs (people whose parents never ran a business).
    - Women entrepreneurs.
    - SC, ST, OBC, Persons with Disabilities, and other weaker sections. It wants to help common people, not just established businessmen.
- **Where will these businesses come up?** Both in villages (rural) and cities (urban) across Andhra Pradesh. The aim is balanced development — so even small towns and villages get industries.
- **Current Status (as per guideline)**: It will start as a pilot project in a few districts in the financial year 2026–27. After seeing the results, it will be expanded to the entire state. There will be an online portal where you can apply, track your application, get subsidy, etc.

2. Objectives (Why the Government is Doing This)

Here are the goals explained simply:

i. Create Sustainable Jobs: The government wants new factories and service businesses that employ local people on a long-term basis.

ii. Help Educated Unemployed Youth: Many graduates are jobless. This scheme helps them start their own venture instead of searching for government jobs.

iii. Increase People's Income & State's Economy: When people earn more, they spend more → local shops grow → overall state becomes richer (higher GSDP). It also focuses on "value addition" — meaning process raw materials locally instead of exporting them cheaply.

iv. Inclusive Growth (Everyone Should Benefit): Special encouragement and probably higher subsidy/support for:

- Women
- Scheduled Castes (SC) & Scheduled Tribes (ST)
- Other Backward Classes (OBC)
- Persons with Disabilities

v. Stop Migration & "One Family – One Entrepreneur": The government doesn't want people to leave their villages and go to Hyderabad, Bengaluru, or Chennai for jobs. They want jobs to come to people's doorsteps. The dream is that in every family, at least one person becomes an entrepreneur.

3.1 Backward and Forward Linkages (Support Activities)

Simple Meaning: Out of the total budget of the scheme, the government will keep aside **up to 5%** of the money **not for giving direct subsidy to entrepreneurs**, but for running the scheme smoothly and effectively.

This 5% is like the "management and marketing expense" of the scheme.

What will this 5% money be used for?

- Conducting **awareness camps** and roadshows in villages and towns so that people come to know about the scheme.
- Organizing workshops and training programs (especially **EDP** – Entrepreneurship Development Programme) to teach people how to start and run a business.
- Holding meetings with bankers so that banks cooperate and give loans easily.
- Doing publicity through ads, posters, social media, etc.
- Physical verification of units (officials visiting to check if the business actually started).
- **Geo-tagging** – marking the business location on Google Maps/GIS system.
- Monitoring, evaluation, and impact assessment studies (to check whether the scheme is really creating jobs or not).
- Creating and upgrading the online portal and IT systems.
- Giving awards to best-performing entrepreneurs.
- Any other supporting activities and clearing old pending payments.

3.2 Sector-wise Earmarking of Funds (Division of Subsidy Money)

Simple Meaning: Out of the main money that will be given as **subsidy** to entrepreneurs, the government has already decided a fixed ratio:

- **1/3rd (approx. 33%)** → Reserved for **Knowledge Economy** sector
- **2/3rd (approx. 67%)** → For **Manufacturing** sector

This division is fixed for now, but can be changed later if needed.

What is Manufacturing Sector?

This means businesses that **physically make products**.

Examples:

- Food processing unit (making pickles, spices, fruit juices)
- Paper plate & cup making
- Furniture manufacturing
- Textile / garment unit
- Plastic products, metal fabrication, packaging materials, etc.
- Any factory that produces tangible goods

What is Knowledge Economy Sector?

This includes modern, technology-based or service-oriented businesses that use knowledge, skills, and digital tools.

Examples:

- Software development company
- Mobile app development
- Digital marketing agency
- IT-enabled services (BPO, data entry, animation)
- E-commerce business
- Biotechnology or pharma R&D related small units
- Graphic design studio
- Online education / EdTech centre
- Renewable energy solution providers

Section 3.3 - FUNDING UNDER CMEP

This section tells us **how big a project (business) you can start** under this scheme and still get government subsidy.

The government has put a **maximum limit** on the size of the project for which they will give subsidy.

Sector	Maximum Project Cost for Full Subsidy
Knowledge Economy	Up to ₹50 lakh
Manufacturing	Up to ₹75 lakh

Important Note Explained Clearly:

- You can start a bigger project (even ₹1 crore or ₹2 crore).
- But the government will calculate subsidy only up to ₹50 lakh (Knowledge) or ₹75 lakh (Manufacturing).
- The extra amount you spend beyond this limit will not get any subsidy.

Why has the Government Set These Limits?

1. **To help small and medium entrepreneurs** — not very big industrialists.
2. **To spread the budget** to more people instead of giving huge subsidies to few big projects.
3. To encourage **many small & medium businesses** across the state.

This is very common in government schemes — they want to support grassroots entrepreneurs.

3.4 Beneficiary contribution and margin-money subsidy norms

This is one of the most important sections. It tells you **how much money you have to put in**, **how much the government will give as free subsidy**, and **how much you can take as bank loan**.

The government wants you to put in **some of your own money** (so you have skin in the game), take the rest as a **bank loan**, and then the government will give you a **subsidy** (free money) later to reduce your burden.

They are giving **better benefits** if you are in a **rural area** or belong to **Special Categories**.

Special Categories (Get Extra Benefits)

- Women
- SC / ST
- OBC
- Minorities
- Physically Disabled
- Ex-Servicemen
- Transgenders

Clear Table (Simplified)

Particular	**General Category**	**Special Category**
Your Contribution	10% of project cost	5% of project cost
Subsidy (Rural Area)	25%	35%
Subsidy (Urban Area)	15%	25%
Max Subsidy Limit	₹12 lakh for Knowledge Economy ₹15 lakh for Manufacturing sector	₹12 lakh for Knowledge Economy ₹15 lakh for Manufacturing sector

3.5 Financial Structure and Project Cost Components

This section explains **what expenses you can include** in your project cost and what the government will consider for giving subsidy.

(i) What is included in Project Cost?

Project Cost = **Capital Expenditure** + **Working Capital**

- **Capital Expenditure** (Fixed Assets): One-time costs to set up the business.
- **Working Capital**: Money needed for day-to-day operations (raw materials, salaries, electricity, etc.).

Important Rule: Your project **must** have some Capital Expenditure. You cannot start a business with only working capital and expect subsidy.

Examples of What Counts :

Capital Expenditure (Allowed):

- Machinery & equipment
- Computers, laptops, software
- Furniture & fixtures
- Electrical fittings, generators, inverters
- Tools and accessories
- Ready-built shed or workshop (purchase)
- Rent/lease of shed for up to 5 years

Working Capital (Allowed up to a limit):

- Raw materials / stock
- Salaries for first few months
- Electricity and water bills
- Marketing and initial expenses

Not Allowed in Project Cost:

- Cost of purchasing land (you can buy land separately, but it won't get any subsidy benefit).

Very Important Rules

Rule 1: Land Cost is Excluded

You can buy land with your own money or bank loan, but it will **not** be counted in the project cost for subsidy calculation.

Rule 2: Ready-Built Shed or Rent is Allowed (with limit)

- If you buy a ready shed → Full cost is allowed.
- If you take on rent/lease → You can include up to **5 years rent** in the project cost.

Rule 3: Working Capital Limit

Maximum **40%** of total project cost can be counted as working capital for subsidy.

Any extra working capital needed → You have to arrange through bank loan **without subsidy**.

4. Eligibility Conditions of Beneficiaries

This section explains **who can apply** for the CMEP scheme and what basic rules you must follow to be eligible. The government has designed it so that genuine, serious people get the benefit, while preventing misuse.

4.1 Eligibility Criteria (Who Can Apply)

Here is a simple breakdown:

Particular	Eligibility Condition	Simple Explanation
(a) Applicant Category	Individuals, Proprietary Concerns (Sole Proprietorship), Self-Help Groups (SHGs)	Only single persons, their own small business, or women's groups can apply. Companies, partnerships, or big firms are **not eligible**.
(b) Age Limit	18 years and above	You must be at least 18 years old. No upper age limit.
(c) Educational Qualification	- Manufacturing: If project > ₹10 lakh → Minimum 8th standard pass - Knowledge Economy: Must be Graduate (any stream)	For bigger manufacturing projects, you need basic education. For IT/software/digital businesses, you need a degree.
(d) Eligible Sectors	Manufacturing + Specific Knowledge Economy areas	Only certain types of businesses are allowed.
(e) First-time Assistance	You should **not** have taken any capital subsidy or margin money from any government scheme before for the same or another unit.	This scheme is only for **first-time** entrepreneurs under subsidy schemes.

Detailed Explanation

1. Who Can Apply?

- **Individual**: A single person (most common).
- **Proprietary Concern**: You run the business in your own name (very common for small units).
- **Self-Help Group (SHG)**: A group of 10–20 women (or members) who already have a group account. Good for group projects.

Not Allowed: Private Limited Company, public limited company ,Partnership firm, LLP, etc.

2. Age Limit

Anyone 18 years or older can apply. Even a 60-year-old can apply if he/she wants to start a business.

3. Educational Qualification (Very Important)

- **Manufacturing Sector**:
    - Project cost ₹10 lakh or less → No education requirement.
    - Project cost above ₹10 lakh → Must have passed at least 8th standard.
- **Knowledge Economy Sector**:
    - Must be a **Graduate** (BA, B.Sc, B.Com, B.Tech, BCA, etc.), no matter how small the project is.

4. Eligible Sectors

Manufacturing Sector: Almost any kind of manufacturing / processing / assembling unit.

Knowledge Economy Startups (Examples given in guideline):

- Research & Development-driven enterprises
- Software and digital platform developers
- Digital healthcare and tele-medicine providers
- FinTech enterprises (financial technology)

Other likely eligible areas (based on earlier sections): App development, e-commerce, digital services, animation, etc.

5. First-time Assistance Condition

You should not have already taken subsidy under schemes like PMEGP, CGTMSE, AP Industries subsidy, or any other capital subsidy scheme for any unit.

4.2 Other Important Conditions

i. Ownership and Management The person who applies must actually own and run the business. You cannot be a dummy applicant for someone else.

ii. Training Requirement (EDP Training) You **must** complete Entrepreneurship Development Programme (EDP) training before the bank disburses the loan. Training can be done through:

- RAMP, RSETI, ESDP, or any institute recognized by AP MSME Development Corporation.

Exception: If you have already completed such training in the last 2 years, you don’t need to do it again.

iii. Location You can set up the unit **anywhere in Andhra Pradesh** – village or city – as long as it follows local rules (zoning, pollution norms, etc.).

4.3 Definition of Urban Areas and Rural Areas

This is important because **you get higher subsidy in rural areas** (25% or 35%) compared to urban areas (15% or 25%).

Simple Definition used in Andhra Pradesh:

Rural Area = Any one of these two:

- Any place recorded as a **Village** in government revenue records (irrespective of population).
- Any area that comes under **Panchayat** (Panchayati Raj Institutions).

Urban Area = Any area that comes under **Municipality** or Municipal Corporation / Urban Local Body.

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5. Identification and Selection of Beneficiaries

The government wants a **transparent and fair** process to select who gets the benefit. No recommendation or corruption — it should be based on merit and rules.

5.1 Mobilization and Receipt of Applications (How People Will Know)

Many government departments will actively spread information about the scheme:

- AP MSME Development Corporation
- District Industries Centres (DICs)
- SERP (for rural areas)
- MEPMA (for urban areas)
- KVIB (Khadi & Village Industries Board)
- Banks

Methods they will use:

- Posters, newspapers, TV, WhatsApp, Facebook, Instagram
- Awareness camps in villages and towns
- Workshops and meetings

5.2 Priority and Exemptions (Who Gets Preference)

Two important rules:

1. **Priority for EDP Trained People** If you have already completed Entrepreneurship Development Programme (EDP) training in the last 2 years, you will get **priority** in selection and you are **exempted** from doing the training again.
2. **One Member per Family Rule** Only **one person per family** can avail benefit under this scheme. Family = Applicant + Spouse (husband or wife).

   This rule prevents one family from taking multiple subsidies.

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6. Implementing Agencies (Who Will Execute the Scheme)

This section explains the **roles of different government bodies** — like who receives your application, who checks it, who approves, etc.

Simple Structure:

Top Level (State):

- **Department of Industries & Commerce** → Overall in-charge
- **AP MSME Development Corporation (AP MSME DC)** → Main Nodal Agency (like the head office for the scheme)

District Level (Implementing Agencies):

- District Industries Centre (DIC)
- KVIB
- SERP (rural)
- MEPMA (urban)

These agencies will:

- Collect applications
- Check documents
- Do preliminary appraisal (initial checking)
- Forward good applications ahead

Timeline:

- They must complete scrutiny and forward applications **within 21 days**.
- If you resubmit after correction → They must check within **7 days**.

Other Important Bodies:

- **DIEPC (District Industrial and Export Promotion Committee)**: They will review applications and scheme progress every 3 months (quarterly). They can hold extra meetings if many applications come.
- **Banks**: After government agencies forward your file, the bank will check your project, do technical & financial appraisal, and decide whether to give loan or not. Bank must take decision **within 21 days**.
- **SLMC (State Level Monitoring Committee)**: Highest monitoring body. They review the entire scheme performance every 3 months.

Complete Flow of How Your CMEP Scheme Application Moves (Simple Step-by-Step)

1. You come to know about the scheme through awareness camp or online portal.
2. You apply online (or through DIC/SERP etc.).
3. DIC / SERP / MEPMA checks your documents and eligibility → within 21 days.
4. If okay, they forward it to the bank.
5. Bank appraises and sanctions loan → within 21 days.
6. You complete EDP training (if not already done).
7. You start the unit.
8. Officials inspect and geo-tag your unit.
9. After successful start, you receive subsidy in your account.

6.1 Role of Implementing Agencies (DIC, KVIB, SERP, & MEPMA)

These are the **first-point government offices** that will handle CMEP application at the district level.

What they do (Step-by-step):

1. **Receive your application** You apply online → They receive it and send you an acknowledgement.
2. **Scrutinize (Carefully Check)** your file They verify:
    - Is the **Detailed Project Report (DPR)** complete with cost breakup, machinery list, etc.?
    - Have you uploaded all documents?
    - Only **one person per family** (you + spouse) has applied?
    - Have you taken any subsidy before under PMEGP or similar schemes?
    - Are you eligible as per age, education, sector rules?
3. **If something is missing** → They return the application to you for correction.
4. **If everything is okay** → They evaluate your project using a **scorecard system** (points for your idea, experience, location, category, etc.) and forward it to the bank.
5. **If not okay** → They reject it and mention clear reasons (you can see this on the portal).

Timelines (Very Strict):

- Normal application → Must be processed in **21 days**.
- If you correct and resubmit → They must process in **7 days**.

Extra Responsibility: These agencies must also actively go to villages and towns, conduct awareness camps, and help potential entrepreneurs prepare good project reports.

6.2 Role of Financing Banks

After the government agency forwards your file, the **bank** becomes responsible.

What the bank does:

1. Receives the proposal from DIC/SERP etc.
2. Does full **appraisal** (deep checking):
    - Is the project technically possible?
    - Will it make profit? (financial viability)

- Can you repay the loan? (your credit score, income, assets, etc.)
- Does it follow bank's own rules + CMEP guidelines?

3. Decides to **sanction (approve)** or **reject** the loan.
4. If rejected, must give reasons in writing.
5. Updates the status on the online portal.

Timeline: Bank must take decision within **21 days** of receiving the file.

Note: Even if government agencies approve, the **bank can still reject** if they feel the project is risky or you are not creditworthy. That is why a good project report and your own contribution matter.

6.3 Role of District Industrial and Export Promotion Committee (DIEPC)

This is a **monitoring committee** at the district level (like a watchdog).

What DIEPC does:

- Reviews how the scheme is performing every quarter.
- Checks data like:
  - How many applications came from each mandal?
  - How many from women, SC/ST, rural areas?
  - Which bank or agency is slow or rejecting more files?
  - How many units actually started (grounded)?
- Tries to improve success rate by recommending more training, better awareness, etc.

Why This Structure is Good

- Clear responsibilities and timelines (21 days + 7 days) so files don't get delayed.
- Multiple levels of checking → reduces mistakes and corruption.
- Monitoring committees ensure the scheme actually reaches villages and weaker sections.

This makes the process **transparent and time-bound**.

6.4 Role of State Level Monitoring Committee (SLMC)

SLMC is the **highest authority** (apex body) for the entire CMEP scheme in Andhra Pradesh. Think of it as the "Big Boss" that oversees everything happening in all districts.

What SLMC Does:

- Reviews the **overall performance** of the scheme every 3 months (quarterly).
- Checks important numbers: How many applications came? How many got approved/rejected? How much money was given as subsidy? How many units actually started? Are loans being repaid properly?
- Makes sure the scheme is implemented **uniformly** across all districts (no discrimination between districts).
- Solves big problems between departments or banks.
- Gives official instructions, clarifications, or orders to fix issues.

Comparison Between District & State Committees

Aspect	**DIEPC (District Level)**	**SLMC (State Level)**
Chairman	District Collector	Secretary, Industries & Commerce Dept.
Convener	General Manager, DIC	CEO, AP MSME Development Corporation
Main Job	Monitors one district	Monitors entire Andhra Pradesh
Focus	Local issues, mandal-wise performance	State-wide policy, big problems, fund flow
Members	Local officers + banks + corporations	Top state officers + corporations + industry nominees

6.5 Nodal Implementing Agency – AP MSME Development Corporation

This is the **main engine** of the entire scheme at the state level.

Responsibilities:

- Maintains a **central database** of all applications, approvals, and subsidy releases.
- Runs and manages the **CMEP Online Portal** (where you apply and track status).
- Coordinates **EDP training** across the state.
- Releases funds to districts and banks.

- Acts as the single point contact for the whole scheme.

In short: AP MSME DC is the “control room” of CMEP.

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7. Financial Institutions (Banks)

The government does **not** give you money directly. Everything goes through banks. The subsidy is also routed through the bank.

7.1 Eligible Banks

You can take a loan from:

- All Public Sector Banks (SBI, Andhra Bank, Canara Bank, etc.)
- Regional Rural Banks
- Private Banks (HDFC, ICICI, Axis, etc.)
- Cooperative Banks
- Stree Nidhi (especially good for women SHGs)

7.2 Role and Responsibilities of Banks (Most Important for You)

This section explains exactly what the bank will do after receiving your file.

1. Verification & Credit Appraisal

- Bank will visit your proposed location.
- Check whether your project is practical.
- Study your Detailed Project Report (DPR).
- Check your **creditworthiness** (CIBIL score, repayment capacity, experience).
- Do technical and financial checking.

2. Sanction & Disbursement

- Bank independently decides to approve or reject the loan.
- If approved, money is released in **phases** (e.g., first 40% when you buy machinery, next after installation, etc.).

3. Margin Money Subsidy Management (Very Important)

- The government subsidy amount is **not given to you directly**.
- Bank keeps the subsidy in a **Term Deposit Receipt (TDR)** for **3 years** (lock-in period).
- After 3 years, if your unit is running well (verified by officials), the bank adjusts this amount against your loan (reduces your outstanding loan).

4. Collateral-Free Loans

- Loans up to **₹20 lakh** → No security/guarantee needed (as per RBI rules).
- Loans above ₹20 lakh → Can be covered under CGTMSE (Credit Guarantee Scheme).

5. Monitoring

- Bank officials will visit your unit every 3 months.
- They check if the unit is running, producing, and repaying loan on time.
- They report to the government if anything is wrong.

8. Bank Finance (How the Bank Gives You Money)

This section explains exactly **how the bank will fund your project**.

i. How Much Bank Will Lend

- **General Category** → Bank will finance **90%** of the project cost.
- **Special Category** (Women, SC/ST, OBC, Minorities, Disabled, Ex-Servicemen, Transgenders) → Bank will finance **95%** of the project cost.

ii. How the Bank Gives the Loan

The bank can give money in two ways:

- **Term Loan** → For buying machinery, computers, shed, etc. (long-term loan).
- **Cash Credit** → For working capital (raw materials, salaries, etc.).
- Or **Composite Loan** → One single loan that covers both fixed assets and working capital (most common and convenient).

iii. Project Cost Limits (Repeated for Clarity)

- Knowledge Economy: Max ₹50 lakh for subsidy benefit.
- Manufacturing: Max ₹75 lakh for subsidy benefit.
- Working Capital: Maximum **40%** of total project cost.

If your capital expenditure already reaches the max limit, the bank can still give extra money for a bigger project, but **no extra subsidy** on the amount above the limit.

iv. Interest Rate & Repayment

- Interest rate → As per the bank's normal rules (whatever is applicable at that time).
- Repayment period → Usually **3 to 7 years**.
- You may get some **moratorium period** (initial period where you pay only interest or nothing) — decided by the bank.

Entrepreneurship Development Programme (EDP) Training

Why is it mandatory? The government wants you to learn basic business skills before you start so that your business doesn't fail.

What will you learn in EDP?

- How to manage money and accounts
- Marketing your products/services
- Production and quality control
- Banking rules and paperwork
- Government compliances (GST, licenses, etc.)
- How to run the business profitably

Where to do it?

- RAMP, RSETI, ESDP, or any institute approved by AP MSME Development Corporation.

Important:

- You must complete it **before** the bank releases the loan.
- If you have done similar training in the **last 2 years**, you are exempted.

Duration: Usually 10–15 days (sometimes residential).

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10. Application and Sanction Process

10.1 Online Application (Fully Digital Process)

Key Points:

- **100% Online** — No physical application or paper forms will be accepted.
- You have to apply only through the **CMEP Online Portal** (will be launched by AP MSME DC).

Step-by-Step Process:

1. **Register/Login** on the portal.
2. Fill all details: Personal info, category (General/Special), rural/urban, project details, etc.
3. Upload **Detailed Project Report (DPR)** — this is very important. It should have full cost breakup, machinery list, expected sales, profit projections, etc.
4. Upload all supporting documents (Aadhaar, caste certificate, education certificate, photos, quotations, etc.).
5. Submit the application.
6. You will immediately get a **Unique Application Identification Number (UAIN)** on your mobile and email.
7. You can download the acknowledgement.
8. The system automatically forwards your application to the concerned agency (DIC / SERP / MEPMA / KVIB) based on your location and project type.

Advantages of Online Process:

- No need to run around offices repeatedly.
- Everything is time-stamped and transparent.
- You can see who is delaying your file.
- Easy to correct and resubmit if something is missing.

10.2 Implementing Agency Scrutiny (DIC, SERP, MEPMA, KVIB)

After you submit the application on the portal, it goes to the concerned government office (depending on your area). They have to finish checking within **21 working days**.

What They Carefully Check:

Check Point	**What They Verify**
Single application per family	Only one person (you or spouse) from the family has applied
Previous subsidy	Have you taken PMEGP or any other capital subsidy before?
Documents completeness	All required documents (Aadhaar, caste certificate, education proof, etc.) uploaded properly
DPR Quality	Is the Detailed Project Report complete with full cost breakup, machinery list, sales projections, etc.?
Rural / Urban classification	Correctly marked as rural or urban
Feasibility of the business	Does this business make sense in your area? (e.g., no ice-cream factory in a very remote village with no electricity)
Caste certificate (if special category)	Verify authenticity
Other documents	Authenticity of quotations, photos, bank statements, etc.

- If something is missing or wrong → Application is **returned** for correction. You get 7 days turnaround when you resubmit.
- If everything is fine → They give marks using a **Score Card System**.

Score Card System (Minimum Marks Required)

Project Cost	**Minimum Score Needed to Forward to Bank**
Up to ₹10 lakh	50 out of 100
Above ₹10 lakh	60 out of 100

This scorecard ensures only decent, realistic projects move forward.

10.3 Bank Appraisal and Sanction

This is the **final and independent check** by the bank. Even if the government agency forwards your file, the bank can still say **Yes** or **No**.

Timeline: Bank must finish appraisal and decide within **21 days**.

What the Bank Checks (Main Parameters)

1. **Viability in that location** – Will the business actually run there?
2. **Raw material availability** – Can you easily get supplies?
3. **Marketing strategy** – How will you sell your products/services?
4. **Your financial history** – Past loans, repayment behaviour, CIBIL score.
5. **Your capability** – Do you have the skills or experience to run this unit?
6. **Site suitability** – Is the location good (power, water, road access)?
7. **Negative list** – Is your business in any banned category? (e.g., illegal activities, tobacco, etc.)

The bank can do field visits, call you for discussion, and ask for more documents.

Important Bank Powers & Rules

- **No Collateral** up to ₹20 lakh (as per RBI rules). Loans above ₹20 lakh can use CGTMSE guarantee.
- Bank can **reduce** the project cost if they feel it is .
- Bank **cannot increase** the project cost beyond what the implementing agency approved.
- After decision, bank uploads:
    - Sanction letter, or
    - Rejection reasons, or
    - Request for resubmission

Overall Flow After You Submit Application

1. **You** → Submit online with DPR → Get UAIN number
2. **Implementing Agency** → Checks in 21 days → Scores project → Forwards / Returns / Rejects
3. **Bank** → Receives file → Appraises in 21 days → Sanctions / Rejects
4. **You** → Complete EDP training → Bank releases loan in phases

10.4 Entrepreneurship Development Programme (EDP) & Promoter Contribution

After the bank sanctions the loan:

1. You have **30 days** to complete the mandatory **EDP Training**.
2. Upload the EDP certificate on the online portal.
3. Submit a copy to the bank.
4. Deposit **your own contribution** (5% or 10%) into the bank.

EDP Training Reminder:

- Done through RAMP, RSETI, ESDP or any approved institute (online or ofline).
- Not needed if you completed it in the last 2 years.

Important: If you delay EDP or fail to deposit your share, the **bank can cancel** the loan sanction.

10.5 Disbursement of First Instalment by Financing Bank

Once the bank verifies:

- EDP certificate, and
- Your promoter contribution (5% or 10%)

→ The bank releases the **first instalment** of the loan.

This is usually 30–50% of the loan, used for buying machinery, shed setup, etc.

10.6 to 10.9 Margin Money (Subsidy) Claim Process

This is the journey of your **government subsidy** from the bank's request to actual transfer.

Step	Who Does It	Timeline	What Happens
10.6	Financing Bank	Within 20 days of first instalment	Bank submits subsidy claim to DIC/SERP/MEPMA/KVIB with proof of disbursement
10.7	Implementing Agency	Within 3 working days	Checks documents and forwards to AP MSME DC
10.8	AP MSME DC (Nodal Agency)	Within 3 working days	Approves the claim
10.9	Nodal Bank	After approval	Transfers subsidy money to your financing bank

Total expected time: Roughly 25–30 days from first disbursement to subsidy reaching your bank.

10.10 Margin Money Lock-in through TDR by Bank

This is the **most important rule** about the subsidy:

What the bank does with your subsidy:

- As soon as subsidy reaches the bank, they open a **Term Deposit Receipt (TDR)** in **your name**.
- The money is **locked for 3 years**.
- This TDR is linked (lien-marked) to your loan account.
- **No interest** is paid on this TDR.
- During these 3 years, the bank also **does not charge interest** on the equivalent loan amount (this is a big benefit).

After 3 years:

- If your unit is running well (verified by officials), the subsidy amount is adjusted against your loan (it reduces your outstanding loan balance).

What happens in case of problems?

- If your loan becomes NPA (Non-Performing Asset) before 3 years (due to reasons not your fault), the subsidy is **refunded back** to the government.
- The bank can still recover money from you later and adjust it.

Before releasing loan, the bank will take a **written undertaking** from you that:

- If any government agency objects later, you will return the subsidy.

Complete Timeline After Bank Sanction (Summary)

1. Day 0 → Bank sanctions loan
2. Within 30 days → Complete EDP + deposit your contribution
3. Immediately → Bank releases **first instalment**
4. Within 20 days → Bank claims subsidy
5. Within next 6–10 days → Subsidy approved and transferred
6. Same day → Bank puts subsidy in 3-year TDR
7. Next 3 years → You run the unit properly
8. After 3 years → Subsidy adjusted in your loan

10.11 Margin Money Adjustment Request (Starting the Final Process)

After the **3-year lock-in period** is over:

- Your bank will send a request to the implementing agency (mainly SERP) asking to **adjust (use)** the subsidy amount that was kept in the TDR.
- They will attach your latest loan account statement.

This is the first step to convert the locked subsidy into actual relief on your loan.

10.12 Physical Verification of Units by SERP

This is the **most important check** before you get the subsidy benefit.

What happens:

- SERP (or concerned agency) will come to your unit for **physical verification**.
- They will check:
    - Is the unit actually running?
    - Are you producing/selling goods or services?
    - Is the machinery installed and working?
    - Are you repaying the loan properly?
    - Are you using the money for the purpose mentioned in the project?

Decision:

- If everything is satisfactory → They approve the adjustment and update on the portal.
- If there is any major problem → They can reject the request.

In case of disputes, a **joint verification** with the bank and other agencies may be done.

Important Rule: The bank **cannot** adjust the subsidy in your loan until they receive the official approval letter from SERP **and** the 3-year period is completed.

10.13 Adjustment of Margin Money (Final Benefit to You)

If approved:

- The bank takes the money from the TDR and **adjusts (reduces)** it from your outstanding loan amount.
- Your loan burden comes down significantly.

Special Cases:

- If you did not fully use the loan for the approved purpose → Subsidy will be adjusted only proportionately. Extra money will go back to the government.
- If your unit is closed, not working, or the loan became NPA (bad loan) → The bank will **refund the entire subsidy** back to the government.

10.14 Transparency and Monitoring

- Everything happens on the **online portal** — fully digital and recorded.
- You will get **SMS + Email alerts** at every stage (sanction, training due, subsidy release, verification, etc.).
- If your application is rejected, you will get **clear reasons** so you can correct and reapply.
- Government officers have dashboards to see live performance (how many units running, delays, category-wise data, etc.).

This reduces corruption and makes the process trackable.

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11. Monitoring, Physical Verification and Evaluation

The government wants to ensure that public money is not wasted and that real jobs are being created.

11.1 Physical Verification of Units (With Geo-tagging)

Key Rules:

- Physical verification + **Geo-tagging** (marking your unit on Google Maps/GIS) is **mandatory** for every unit.
- Main responsibility → SERP officers (or authorized persons).
- In big or technical cases, third-party agencies may also be hired.

When does verification happen?

- Main verification → After **3 years** from first loan disbursement (same time as margin money adjustment).
- Additional checks → Can happen anytime if:
    - Bank or agency suspects something is wrong.
    - Unit looks closed.

- Repayment is irregular.

What they check during visit:

- Unit is established at the approved location.
- Machinery is there and working.
- Business is operational.
- Proper utilization of funds.
- Employment generated (as promised in project report).

Complete 3-Year Journey (Super Simple Summary)

Time Period	**What You Must Do**	**What Government/Bank Does**
Month 0–1	EDP Training + Deposit your share	Bank releases first instalment
Month 1	Start the unit	Bank claims subsidy → Money locked in TDR
Year 1 to 3	Run business + Repay loan regularly	Bank monitors quarterly
After 3 Years	Keep unit running	SERP does physical verification + Geo-tagging
After Verification	-	Bank adjusts subsidy in your loan

11.1.1 Verification Parameters (What Officers Will Check)

When SERP (or the concerned agency) comes for physical verification after 3 years, they will specifically look at these 6 things:

No.	What They Check	Simple Meaning
i	Unit at approved location	Is your factory/office exactly where you promised? – they will visit the GPS location and confirm.
ii	Machinery & working capital used as per project	Did you buy the exact machinery you mentioned and use money for the right things? – they will check if it is installed and working.
iii	Enterprise is operational + generating employment	Is the unit actually running and giving jobs? – they will verify.
iv	Loan + Subsidy used for approved purposes	No misuse of money.
v	Compliance with TDR lock-in rules	Was the subsidy properly kept in the bank for 3 years?
vi	Repayment discipline & sustainability	Are you regularly repaying the bank EMI? Does the business look like it will continue?

If everything is good → You get the subsidy benefit. If major problems are found → Action is taken (explained below).

11.1.2 Documentation (Official Record Keeping)

- The verification officer will fill a **standard report format** (same format across the entire state).
- Photos, videos, GPS coordinates (Geo-tagging), worker attendance, production records, etc. will be collected.
- The full report is uploaded on the **CMEP Online Portal**.
- A copy is kept in government records for audits.

What happens if something is wrong?

- Unit closed or not running → Flagged immediately.
- Misuse of funds found → Government can order **recovery of subsidy**.
- The bank will take back the subsidy amount from your TDR and return it to the government.

11.2 Evaluation of the Scheme (Big Picture Review)

After the scheme runs for a few years, the government will do a **full independent review** to understand how well it is working.

They will study:

1. How many actual jobs were created?
2. Are the businesses still running after 3–5 years? (Sustainability)
3. How many women, SC/ST, OBC, disabled people benefited? (Inclusion)
4. Which districts and sectors (manufacturing vs knowledge economy) performed better?
5. Was the application process fast? Was EDP training useful?
6. Overall impact on the state's economy and MSME growth.

Who will do this evaluation?

- Independent agency, university, or a government committee.

Purpose: The findings will be used to **improve** the scheme — maybe increase subsidy, change rules, add new sectors, or fix problems.

11.3 MIS-Based Monitoring and Transparency (Digital System)

MIS = Management Information System (the online portal's smart tracking system).

The CMEP portal will work like a live dashboard with these features:

- You can track your application status 24×7 (like tracking Amazon order).
- Automatic SMS & Email alerts at every stage.
- Real-time data for officers: How many applications pending? How many loans sanctioned? How many units actually running?
- District-wise and category-wise reports.
- Full **audit trail** — every action (who approved, who rejected, when) is recorded and cannot be changed secretly.
- Physical verification reports and photos uploaded directly.

Benefits:

- Reduces corruption and delay.
- Makes everything transparent.
- Helps government take quick corrective action.

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12. Bankers' Review Mechanism

The government knows that banks are very important in this scheme. So they have created a formal system to regularly sit with bank officials, review progress, solve problems, and improve the scheme.

12.1 State-Level Bankers' Review Meeting (Quarterly)

When? Every 3 months during the **SLBC Meeting** (State Level Bankers' Committee). This is a big meeting where all major banks in Andhra Pradesh already meet.

What do they review?

- How many loans were sanctioned and disbursed?
- How fast was the Margin Money (subsidy) released?
- Were the 21-day timelines followed by banks and government offices?
- How many loans got CGTMSE coverage (no-collateral benefit)?
- Are beneficiaries repaying loans properly? How many loans became NPA (bad loans)?
- Any delays or complaints from beneficiaries or government officers?

Purpose: To quickly solve practical problems.

12.2 Annual Review (High-Level Meeting)

When? Once every year.

Who attends?

- Chairman: Secretary, Industries & Commerce Department (very senior officer)
- Chief General Managers of all major banks
- SLBC representatives
- AP MSME Development Corporation

What do they discuss?

- Overall performance of the entire scheme.
- Which districts are doing well and which are lagging.
- Manufacturing vs Knowledge Economy performance.
- Success stories (e.g., "A woman in Srikakulam started a successful food unit and employed 12 people").
- Major challenges and solutions.
- Whether any rules need to be changed (mid-course correction).

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13. Financial Implications (Total Budget of the Scheme)

This section tells us about the **money** allocated for CMEP.

Key Points:

- The government has earmarked **₹300 crore** for the scheme.
- This budget is calculated after considering:
    - Different project costs (up to ₹50 lakh for Knowledge Economy, ₹75 lakh for Manufacturing).
    - Higher subsidy in rural areas (25–35%) vs urban (15–25%).
    - Special benefits for women, SC/ST, etc.
    - 1/3 money for Knowledge Economy and 2/3 for Manufacturing.
    - 5% money kept for awareness, training, monitoring, etc.

What does ₹300 crore cover?

- All the subsidies (margin money) given to thousands of beneficiaries.
- It is planned carefully so that the government does not overspend.

The remaining money is used for:

- Awareness camps
- EDP training
- Portal maintenance
- Physical verification

- Administrative expenses

Phased Approach:

- Starts as a **pilot** in some districts in 2026–27.
- Later expanded statewide.
- Budget will be used wisely and reviewed every year. If the scheme performs very well, the government may increase the budget in future years.

Section 17: Negative List of Activities

17.1 Activities Related to Meat, Liquor, and Intoxicants (Strictly Banned)

Not Allowed:

- Processing, slaughtering, or canning of meat, chicken, or fish.
- Any business selling or serving liquor, beer, wine, toddy, etc.
- Making or selling tobacco products (beedi, cigarettes, gutka, pan masala, etc.).

17.2 Environmentally Prohibited or Restricted Activities

Not Allowed:

- Making banned plastic items (carry bags, polythene, thermocol/styrofoam).
- Any hazardous chemical industries.
- Activities that need heavy pollution clearance and cannot get it quickly.
- Anything that breaks pollution control rules.

17.3 Agricultural and Plantation Activities (Primary Cultivation)

Not Allowed:

- Growing crops (tea, coffee, rubber, vegetables, flowers, etc.).
- Basic farming activities.
- Rearing animals (goats, sheep, pigs, poultry, etc.).

Important Note (Positive Side):

- **Agro-processing and value-addition units ARE allowed.**

17.4 Units Covered under Banned/Restricted Products

Not Allowed:

- Anything banned by Central or State Government.
- Firecrackers without proper licenses.
- Hazardous waste processing without approvals.
- Making fake/counterfeit products.
- Pirated items (illegal copies of movies, software, etc.).
- Units that already took subsidy under PMEGP or any other similar scheme.
- Existing businesses trying to expand or modernize using this subsidy. **Only brand new units** are allowed.

Annexure: Required Documents for CMEP scheme Explained

This annexure lists **all the documents** you need to upload when applying online for the CMEP scheme. Some are **mandatory (✱)** for everyone, while others are needed only if they apply to you.

A. Identity, Age & Domicile Documents

Document	Mandatory?	Explanation
1. Aadhaar Card Number	Yes (✱)	You must enter your 12-digit Aadhaar number. It is used for identity verification.
2. Proof of Age (any one)	Yes (✱)	Birth Certificate, SSC marksheet, Aadhaar (if date of birth is printed), or Passport.

Note : Must be 18+ years old.

B. Educational Qualification & Skill Documents

Document	Mandatory?	Explanation
3. Educational Qualification Certificate	Yes (✱)	Minimum 8th pass for Manufacturing (>₹10 lakh project). Graduation for all Knowledge Economy projects.
4. Skill/Technical Training Certificates	Optional but recommended	ITI, Polytechnic, Skill India, NSDC certificates. It improves your score.

C. Social Category & Special Category Documents

(Only if you want Special Category Benefits — higher subsidy)

Document	When Needed?	Explanation
5. Caste Certificate (SC / ST / OBC)	Mandatory for claiming special benefits	If you are from SC community and want 35% rural subsidy, you **must** upload a valid caste certificate.
7. Disability Certificate (PwD)	If applicable	For Persons with Disability claiming extra benefits.
8. Ex-Servicemen Certificate	If applicable	For ex-army personnel.

Note: If you are **General Category**, you don't need these.

D. Enterprise-Related Documents (Most Important)

Document	Mandatory?	Explanation
9. Project Report (DPR)	Yes (✱)	This is the **heart** of your application. It must contain: Business idea, total project cost, machinery list with quotations, working capital needs, expected sales & profit, how many jobs you will create.
10. Land / Workshed Documents	As applicable	Rental Agreement (if rented), Sale Deed, or Provisional Allotment letter (if in industrial park).

E. Bank-Related Documents

Document	Mandatory?	Explanation
11. Bank Account Details	Yes (✱)	Copy of Bank Passbook or Statement (showing account number, name, IFSC). The account should preferably be in your name.

F. Training & EDP-Related Documents

Document	When Needed?
12. EDP Certificate	Not mandatory at application stage. You can upload later. It becomes mandatory before loan disbursement.

You can apply even without EDP training, but you must complete it within 30 days of loan sanction.

G. Declaration & Compliance Documents

Document	Mandatory?	What it says
13. Undertaking (No previous subsidy)	Yes (✱)	You declare that you have never taken capital subsidy under PMEGP or any other scheme before.
14. Self-Declaration of Family Eligibility	Yes	You confirm that only one person from your family (you or your spouse) is availing this scheme.
15. Consent for CGTMSE	At sanction stage	Permission for Credit Guarantee Scheme (for collateral-free loan).

H. Additional Documents (Recommended)

Document	Status	Why it is useful
16. PAN Card	Strongly Recommended	Banks usually ask for it during loan appraisal. Better to upload it from the beginning.

Practical Checklist Before You Apply :

Must Upload (Mandatory for All):

- Aadhaar
- Age Proof
- Education Certificate
- Detailed Project Report (DPR)
- Bank Passbook
- No Previous Subsidy Undertaking
- Family Declaration

If Applicable:

- Caste Certificate (for special category)
- Rental Agreement / Shed documents
- PAN Card (recommended)

CMEP Scheme – Document Checklist

Mandatory Documents (Must Upload for Everyone)

Document	Why it is Needed
Aadhaar Card	For identity verification and linking with your application
Proof of Age (Birth Certificate / SSC Certificate / Aadhaar with DOB / Passport)	To prove you are 18 years or above
Andhra Pradesh Domicile / Residential Certificate	To prove you are a resident of Andhra Pradesh (important for state scheme)
Educational Qualification Certificate	To check eligibility (8th pass for big manufacturing, Graduation for Knowledge Economy)
Detailed Project Report (DPR)	The most important document. It explains your business idea, cost, profit, employment etc.
Bank Account Details (Cancelled Cheque or Passbook Copy)	For loan disbursement and subsidy transfer
Undertaking of Non-Availing Subsidy	Declaration that you have never taken similar government subsidy before (PMEGP etc.)
Affidavit / Self-Declaration for First-Time Entrepreneur	Confirms you are a genuine new entrepreneur
Self-Declaration of Family Eligibility	Confirms only one person (you or spouse) from the family is applying

Mandatory Documents (If Applicable)

These are required only if they apply to your case:

Document	When Required
Caste Certificate (SC / ST / OBC)	If you want Special Category benefits (higher subsidy 25–35%)
Disability Certificate (under RPwD Act 2016)	If you are a Person with Disability
Ex-Servicemen Certificate	If you are an ex-army person
Land / Workshed Documents (Rental Agreement / Lease Deed / NOC / Sale Deed)	If you are taking shed on rent or own land
Consent for CGTMSE Coverage	At the time of loan sanction

Non-Mandatory / Conditional Documents (Good to Have)

Document	Status	Why it is useful
Skill / Technical Training Certificates	Optional but Recommended	ITI, Polytechnic, Tailoring, Computer course, etc. Improves your scorecard.
EDP Certificate	Not needed at application time	Must be uploaded **before loan disbursement**. You can apply without it.
PAN Card	Strongly Recommended	Banks usually demand it during loan processing. Upload it early to avoid delay.